Executives
Alfred Penny - President of Bimbo Bakeries USA Inc
Daniel Javier Servitje Montull - Chairman, CEO & Member of Advisory Board
Guillermo Jorge Quiroz Abed - Chief Administration & Financial Officer and Member of Advisory Board
Steve Mollick -
Unknown Executive -

Analysts
Alexander Reid Robarts - Managing Director and Head of Latin American Consumer Staples Equity Research Team
Diego Mejía Cárdenas -
Dong Uk Shin - Research Analyst
Ignacio Ochoa -
José Juan Yordán - Research Analyst
Juan Lopez -
Luis Miranda Valenzuela - Head of Food and Beverage
Mauricio Martinez -
Nikolaj Lippmann - Equity Analyst
Raúl Ochoa -

Presentation

Operator
Good morning, everyone, and welcome to Grupo Bimbo's Fourth Quarter Results Conference Call. If you need a copy of the press release issued yesterday, it is available on the company's website at www.grupobimbo.com.

Before we begin, I would like to remind you that this call is being recorded and the information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties, and actual results may differ materially. Please refer to the detailed note in the company's press release regarding forward-looking statements.

I will now turn the call over to Mr. Daniel Servitje, Chairman and Chief Executive Officer of Grupo Bimbo. Please go ahead, sir.

Daniel Javier Servitje Montull
Thank you very much. Good morning, everyone, and thank you for joining us today. I am here today with several members of our Finance and BBU team. We will review the main highlights from the fourth quarter, as well as key developments from the year as a whole. And then, we will touch on our outlook for 2014. As usual, we will be happy to take any questions you may have at the end.

To start, I will say that this was another solid quarter for Grupo Bimbo, with all key operating metrics trending positively. This reflects our market penetration efforts, our focus on becoming a low-cost

producer, the continued success of our long-term integration plan in the U.S. and operational improvements in Iberia and Latin America.

Looking at performance by region, starting in Mexico. We saw some pressure, some volumes this quarter due to pricing initiative. However, we've had a number of successful launches such as Marinela and the Oroweat product line, which performed significantly well. And we continue to drive improvement in top line performance through innovation efforts. On the operating side, we benefited from lower average raw material costs, which more than offset the investment in marketing during the period and resulted in an almost 2 percentage point improvement in the operating margin.

Just a quick comment on El Globo. As you may know, we have restructured this business by separating the retail operations from the manufacturing process in order to strengthen performance of the business, and we expect to see a contribution to operating performance in 2014.

Moving on to the U.S., which includes Bimbo Bakeries USA. and Barcel USA, sales rose almost 3% in dollar terms while we cycled the impact of the Hostess exit, Q4 2014 price increases and the impact of the California divestiture. Excluding the divestiture effect, sales grew more than 4%. Of particular note was the increased sales growth and market penetration of Sara Lee's snack cakes [ph] and the overall sweet baked goods category.

Operating performance came under pressure from higher average raw material costs and the expected integration expenses, including the 5 plant closures announced during the quarter aligned to this process. On the positive side, we saw about $20 million in savings with synergies and waste-reduction initiatives. I also want to highlight that our new plant in Lehigh, Pennsylvania, started up operations a few weeks ago and is one of the most efficient and modern facilities of its kind. It will further contribute to our productivity efforts.

Continuing on to Latin America. Every country in the region actually reported top line growth. However, the currency effects, mainly in Brazil, Argentina and Venezuela, resulted in a slight decline in net sales in peso terms. While market conditions and macroeconomic variables differ widely across the region, we're focused on much of the same initiatives, strengthening the production platform, improving distribution and optimizing SG&A. As a result, despite pressures on gross margins from raw material costs, we successfully cut in half our operating loss in the region this quarter and saw a 6-point percentage point recovery in the margin.

Lastly, looking at Iberia, I'm pleased to report continued progress in that operation despite a very challenging consumption environment. Performance is showing successful brand differentiation and solid execution at the point of sale.

Before we talk about 2014, I would like to take a moment and summarize the key takeaways from 2013. This was a pivotal year for us in which we accelerated the integration of major acquisitions, generated the highest EBITDA in our history, allocated record CapEx to modernize our manufacturing base, made significant progress on our strategic initiatives and delivered solid financial and operating improvements while we de-levered rapidly.

This position us on a very solid footing going into 2014, and I am optimistic about the following things: First, there are signals of macroeconomic improvement in several of our key markets after an extended

period of weak recovery. Second, in the U.S., we expect to achieve further synergies on the back of our asset strategy and investment in distribution, while our waste reduction efforts across the supply chain and other initiatives will continue to deliver efficiencies. Third, we also expect improvements in Latin America after this year of restructuring, as well as ongoing progress in Iberia as we continue to transform that business. Fourth, the Canada Bread acquisition would contribute to performance once this transaction is closed and consolidated. And lastly, across the entire organization, we'll continue to launch new products, particularly those with a healthy profile, and we will bring existing products into new markets, thereby increasing the penetration of our portfolio. Furthermore, we expect additional savings to come from our global procurement initiatives.

To be fair, there are also some challenges we'll need to address, such as the special tax on production and services in Mexico, known locally as IEPS, that will affect part of our portfolio. To address that, we'll enhance our marketing and sales efforts on the consumer-facing side, while we'll be targeting savings opportunities. At the same time, our strong commitment to healthy products and healthy consumers will be reflected in our R&D efforts, our new product launches, which we will believe will help maintain self performance over the long term.

I will now turn the call over to Guillermo Quiroz to walk you through the financials.

Guillermo Jorge Quiroz Abed
Thank you, Daniel. Good morning to you all. Much have been said recently about the financial leverage that our company will experience, while the acquisition of Canada Bread is finished, so we think it is useful to briefly address this topic during today's call.

In terms of our consolidated financial position, the debt-to-EBITDA ratio was 2.3x in December 2013, down from the 3x 1 year ago. Therefore, reflecting, once again, the company's ability to delever swiftly. Should we continue on this delevered trend, we will approach rapidly the 2x target zone.

As we stated last week, the -- comparing the strategic benefits of the Canada Bread to the section when it is finished, will lead us to increased leverage to the 3 to 3.1 zone, depending on the actual month we pay for that company. While this ratio is in the high neighborhood for the former self-imposed range and preference, it is not a concern either the high gift [ph] we have experienced along the growth trajectory of the company, particularly for the last 15 years.

I think it is worthy to recall that we reflected 3.3x ratio back in 2009 due to the funding of the George Weston acquisition, which was made just at the peak of the financial crisis that distressed financial markets all across the world. During 2009, we successfully managed to term out our last position of that debt and delevered to 2.3x by the end of the same year.

More recently, Sara Lee's acquisition raised the levers to 3.1x, the same level we would approach at this time. The Canada Bread is closed at some date during the second quarter of the year. Also, please be mindful that during the next quarters, we will be fully amortizing MXN 5 billion of Certificados Bursátiles issued back in 2009, precisely to term out some debt related to the George Weston acquisition.

Those who have followed us for many years now, a strong, healthy and flexible balance sheet is the backbone of our financial policy. That means that we privilege the ability to be able to leverage the balance sheet, where measured strategic opportunities arise, as much as we privilege rapid delevering

to regain flexibility by lowering indebtedness. We believe that 3x leverage ratio is both reasonable and manageable. All the more, in light of the scope and -- of significance of the Canada Bread acquisition and the stability of expected the cash flows.

Aside of having cautious and conservative approach towards the gross debt-to-EBITDA ratio alone, we are always mindful of the amortization profile of our debt and have always resolved to completely the maturities scheduled to our cash integration rather than relying in any one single market nor putting any sort of pressure to our strong liquidity position in the short or medium term. That is markets allowing, we start to sign debt maturities at various tenures, therefore streaming them across time and achieving such alignment to consolidate the free cash flows.

Drawing upon the $2 billion long-term revolver facility to fund for the acquisition in the following months, we immediately levered with the convenient -- convenient and thorough amortization schedule. Average life of our investments [ph] after a given effect to the acquisition will be slightly about 5 years. Nevertheless, we will closely monitor some markets performance in the following months to assess whether to term a portion of the debt further out.

Now we will be happy to go back to Amy to take any questions you may have.

Question and Answer

Operator
[Operator Instructions] Our first question comes from Nikolaj Lippmann at Morgan Stanley.

Nikolaj Lippmann
I have 3 questions. First of all, could you give us a sense of whether there will be any trend closures over the course of 2014? So that's one. Two, if you could give us a sense of what you're seeing in the marketplace in the U.S. with regards to sort of discounts, promotions now that a lot of new capacities being reintroduced to the market. And finally, on the Mexican market, whatever you can say about what you're seeing in the marketplace? What part have you seen the introduction of taxes? How you're dealing with that? And your margin is fantastic in the fourth quarter, but what is your thinking with regards to pricing? And how is that being absorbed in sort of first 6 weeks, if you will, of the year?

Daniel Javier Servitje Montull
Yes. This is Daniel. I'll answer a little bit of question 1 and 3 and let Fred Penny, our President in the U.S. to talk a little bit more about what's going on in the U.S. All in all, I would say that we're happy with our long-term plan for improving our manufacturing efficiency. It's a long-term plan, and that includes investments in different countries in order to improve our low-cost strategy. So that's why we ended up specifically in the U.S., announcing already 5 plant closures. And we expect some others to be announced during the year, but it was a significant number of plant closures that were announced in the past 3 or 4 months. In the marketing -- in the Mexican market, I would say that we are still experiencing soft volumes. The economy is still not picking up as we expect, given the estimates of GDP growth. And you can see also the comparable growth rates of leading retailers. There's also this impact on the IEPS tax. It's still early to tell, but we are, as of now, experiencing some declines in these categories. So the market is -- was soft, and it's still soft. I would say, that's basically my comment.

Alfred Penny

Daniel -- Nikolaj, on your question regarding the marketplace and the promotional levels, et cetera, I think it's been -- I would say, overall, remain competitive. The reemergence of some of the Hostess brands that have liquidated, I think, has added to that. And to a degree, depending on the category whether it's sweet baked goods or bread or buns, et cetera, the answer will vary a bit. But the marketplace has remained competitive, and I think, in some cases, the consumers have -- segments of the consumers have continued to feel stressed and continued to look for value, which you have to respond to, obviously, if you're in the category. So I'd say it's mix, but it's been competitive.

Nikolaj Lippmann
A follow-up question on that. As far as we can see, there hasn't been much of an increase in market share for some of the private label. And there hasn't been a big increase in promotions. Is that also what you're seeing? So you're saying it remains competitive but has there been an increase? Is it flat? Or is it -- I don't know if you can give a little bit of color. But we are seeing from Nielsen, it looks like it's kind of stable and maybe not as bad as one would fear when you reintroduce both new private label capacity, as you mention a couple of new -- a couple of old, very high profile brands.

Alfred Penny
I'd agree with that, I'd say that's accurate. I can't, if you will, adjust for divestitures, for example, with our numbers. The divestitures have had a relatively meaningful impact on share. But if you adjust those out, I think the overall shares haven't dramatically changed beyond some -- the divestiture impact in some geographic expansion by some of the other participants.

Operator
The next question comes from Mauricio Martinez at GBM.

Mauricio Martinez
I was wondering if you can give a little more color about expectations, maybe user sales [ph] for 2014. We should expect further adjustments in provisions related with multi-player pension funds? And lastly, how much is the total integration expenses since the Sara Lee acquisitions? And how much we would be expecting in 2014?

Alfred Penny
Let me take the results for 2014 outlook first. There's a number of things that we're working on. We're continuing to work on lowering our costs. And I think Daniel mentioned additional plant closures. But across the supply chain, we're working to lower our overall costs, and we'll continue to do that. We, certainly, are looking to get some growth as well across our portfolio, and we expect to improve our earnings year-over-year as well. With respect to integration, I'll let our CFO, Steve Mollick, answer that.

Steve Mollick
Integration in 2013 was consistent with the integration expenses we incurred in 2012. We plan on having a similar level in 2014. The synergy that has resulted from the integration efforts, we exited 2013 just a little bit below $200 million of overall synergy. And we plan to improve on that in 2014.

Operator
The next question comes from José Yordán at Deutsche Bank.

José Juan Yordán

My question's just about the IEPS in Mexico. I mean, the way it was implemented doesn't seem to have followed the letter of the law specifically in terms of caloric contents, some items -- some additional items. Well, let's say some items that one would have expected to be exempt from the tax appear to have been taxed, et cetera. Can you give us any more color as to how that process went, and why that happened? And whether there's product reformulations that you'll be able to do over the year to get more items off that list?

Guillermo Jorge Quiroz Abed
José, the law, as you know, was implemented -- was decided on a very fast pace. And we're just following the indications of the authorities. And we're complying fully with what they ask us to do. And we're -- on a longer-term basis, not necessarily related to this aspect, we're continuing our efforts to reformulate our products. And we're doing that on an ongoing basis in all geographies as part of our health and wellness initiative. So that's the longer-term initiative. Specifically on this one, we're just complying with what was -- what came out of the fiscal reform.

José Juan Yordán
I guess, what you're saying is that the list is not likely to change this year. Or is there any sort of effort to, now that you have more time that -- now that the law's been implemented. Is there any scope for refining the number of items taxed, et cetera, now that you have the luxury of time, and the government has the luxury of time to look at it more in a more systematic way?

Daniel Javier Servitje Montull
I wouldn't speculate on that one, José.

Operator
The next question comes from Rafael Shin at BTG.

Dong Uk Shin
I just have 2 questions. The first one is in the gross margin in the U.S. I just wanted to get a better of understanding of -- I understand that the hedging policies are different in each country, but I wanted to understand why there was a contraction. Can you separate kind of the effect coming from higher discounts, and how much is coming from higher input prices? And the second question would be in Brazil, if you can give us some color on pricing volumes, and also -- and if it's safe to assume that most of the restructuring costs in Brazil are behind us.

Steve Mollick
In -- yes, this is Steve Mollick, Rafael. In the fourth quarter, so gross profit was up slightly in the U.S. You're right, raw materials were a slight drag. Our price performance was relatively flat in the quarter. And relative to your question on hedging policy, our policy is to be between 4 and 9 months coverage, and we're within that range.

Daniel Javier Servitje Montull
Yes, Rafael, on the Brazilian scene, I would say that we have made a lot of progress on our restructuring and our Moji plant [ph], which was significantly enlarged, is ramping up production. The issue that we have in Brazil are more to do now with the sluggish growth rate in the economy and the consumer power. So we're experiencing difficulties in the market to increase our volume, so it's not a bullish market as it was a few quarters or years ago.

Operator
The next question comes from Luis Miranda at Santander.

Luis Miranda Valenzuela
I have 2 questions. The first one is, I don't know if you can give us some color with regards to the raw material outlook, especially in Mexico. Brazil have the benefit of some tailwinds during the first half of the year. And just a follow-up on the U.S. integration, it seems that with the plant that you closed in 2013 and the problem for 2014, would it be fair to assume that 2015, the manufacturing footprint would be what you planned it to be? Or you would still have to make some adjustments in 2015?

Daniel Javier Servitje Montull
Okay. On the first part, in Mexico, commodity costs, we're experiencing a decline, and we experienced a decline with some of our commodities last year. And we're experiencing a decline with some other commodities, especially wheat this side, this year. So all in all, we don't foresee now an increase in our cost. And we could have also some benefits, as you outlined it. On the U.S. side, do you want to take that one, Fred?

Alfred Penny
Sure. I think on the major restructuring of our manufacturing footprint, we'll be certainly much further along, closer to having completed the major elements of the restructuring as we exit 2014. But I'd also say that we're going to continue to evaluate ongoing investments that are going to take our costs down further. And so I certainly wouldn't rule out additional work beyond that. And I would expect additional work beyond that, but not of the magnitude that we've had the last couple of years.

Luis Miranda Valenzuela
And Daniel, if I may follow-up just in terms of pricing in Mexico. The price increases that we implemented at the end of the year and the beginning of the year, they fully reflect the price increases that you planned, or you might be just following the market on volumes to see if you could have -- there were partial price increases or there were full price increases.

Daniel Javier Servitje Montull
Our price increases, basically, reflected 3 elements. One was the IEPS factor, whatever that occurred. And in some others, we adjusted as we do regularly due to the margin target for each category or product. And thirdly, we also -- as you know, we sell a lot of our products in the small retailers, so some of our pricing had to be rounded to MXN 0.50 or MXN 1 in many of our products, so that in some cases, we round it down, and in some others, we ended up rounding up in order to have a price that is feasible to be -- executed at the small retailer. So I think we did what we needed to do, and we're comfortable where we are right now.

Operator
The next question comes from Alex Robarts at Citi.

Alexander Reid Robarts
Three questions from my side. I guess, I need to go back to the IEPS issue. Obviously, this is a very important price increase that you're passing through the portfolio. And some of your peers have been kind of giving us this sense of, really, the magnitude of volume declines and maybe what we can expect

for this year. I mean, I appreciate the visibility is low, but you mentioned that volumes are down, I guess, year-to-date because of the price increases. Are you able to see or give us a sense of has the sweet baked goods been more impacted than the snacks and confectionery? Are you kind of in the middle of the process here vis-à-vis the full increase? Or will you kind of take it on a case-by-case basis? And is it safe to kind of assume on this one that you're really going after profitability, and maybe some share loss is acceptable? So I guess, that's the first question, any color on the volume drop year-to-date on IEPS. Second thing is, really, you've told us about this very important CapEx program, modernizing your plants in the United States and in Mexico. I guess, it's a 3-year $550 million program starting last year. What was CapEx for 2013? And are you in the middle -- are you kind of at the peak part of this plant modernization cycle? Have things been going the way that you thought they have been? And any kind of report card on this CapEx program would be helpful. And the third and final one is just about the MXN 400 million in impairment charges that we saw in Mexico and in the United States, kind of what was the nature of that? And are they recurring?

Daniel Javier Servitje Montull
Okay. A lot of specific question. I'll try to answer them. On the first one, as we were saying, it's hard to tell how the year will unfold, because, as you know, last year, we didn't see any growth in terms of consumer expenses during the year, and we haven't seen that starting the year, so the year started, as a whole, very, very slow. In terms of our impact, as a whole, in Mexico, first month around the 4% decline, and it's not a very consistent number across the weeks -- some weeks are better than others. So we're still -- don't have a clear sense as to how the year will unfold in that regard. On the CapEx side, the number that we spent last year was our highest ever, $550 million, and we're expecting a similar amount this year on a different sort of nature of projects. Many of the ones that we had last year were sort of bigger CapEx events, larger lines, even new plants. And most of our effort this year will be on smaller projects, although we'll still have a couple of large ones, such as one that will happen in Spain as we revamp the manufacturing strategy in that country in order to lower our cost. And we have also some large new distribution centers in different parts of the world. So all in all, a different nature of CapEx projects. We are happy what we're getting out of our initiatives, but we still have ways to go to keep on improving and expanding our lean manufacturing initiatives. But so far, we're happy with the direction, and we keep on improving our costs as we unfold this initiative. And the third question, I forgot about that one.

Guillermo Jorge Quiroz Abed
Impairment, impairment.

Daniel Javier Servitje Montull
Impairment. Yes, the impairments basically relate to 2 kinds of groups. One is an impairment in El Globo. As we mentioned, we designed sort of the organization, and we ended up focusing El Globo more as a retail account, and left the plants too the responsibility of Bimbo organization in Mexico. So there was a goodwill impairment charge as a result of this restructuring. And that we also had a restructuring charge, a goodwill impairment in a few brands in the U.S., particularly, brands that came out as part of the purchasing of the Sara Lee business a few years ago. That's basically the impairment.

Alexander Reid Robarts
Okay. And just -- do you think we might see more impairments? I appreciate it's kind of a touch-and-go situation, but might we see something the first half or perhaps not?

Daniel Javier Servitje Montull

Well, as you may know, every year, we have to review with our auditors all the goodwill that we have in our books and the brands. And after a thorough examination every year, that there is an analysis of which brands or other assets need to be -- intangible assets need to be impaired. And so we don't want to expect anything now. And if there's anything, it will be same quarter next year or this year.

Operator
Now let's go to [ph] Juan Lopez at BTG Pactual.

Juan Lopez
I have a question regarding the working capital. You seem to have a MXN 4 billion cash outflow related to other liabilities. If you could detail what are the charges related to that?

Guillermo Jorge Quiroz Abed
Basically, that can be answered through a detailed reconciliation, but we did have an important ancillary situation when closing 2013. And it was the last year -- it was last year when this tax court to get to us [ph] was applied. So we focused basically in not closing the year, being forced to pay any year 2 taxes,that would not be possible to recover. Fortunately, we were successful on that, but the picture of our -- or the power of working capital at the end of the year was not really comparable to the previous one. And there are other specific movements that I will try to describe them on the phone, but if you can call us, we can certainly work with you on this reconciliation.

Juan Lopez
That would be very helpful. Do you have any specific guidance of the margin improvement expected for the U.S.?

Daniel Javier Servitje Montull
Fred or Steve?

Alfred Penny
We don't...Our policy is

Unknown Executive
Not to have a guidance on...

Juan Lopez
Okay. And then moving to global, how large is this operation?

Daniel Javier Servitje Montull
Yes, this is basically a small operation. It's similar to what it was when we acquired. We closed some outlets and opened others -- similar to when -- to the size that it was -- when we bought it, it's maybe around $100 million plus.

Juan Lopez
$100 million in profit?

Daniel Javier Servitje Montull
In dollars.

Guillermo Jorge Quiroz Abed
Sales.

Juan Lopez
Initial, okay. Okay. Good. Sorry, just the one last one, if I may. If you can you share a guidance on what the tax rate maybe in 2014?

Guillermo Jorge Quiroz Abed
Yes. We really aren't pretty sure about that. We have to see how the -- this partial reduction of fringe benefits or the impact that will have in our P&L. And that's in the next kind of operation. But the rate we are using to date on a consolidated basis for projections and financial planning is in the neighborhood of 40%.

Operator
Next question comes from Ignacio Ochoa, Crédit Suisse.

Ignacio Ochoa
I just want to ask one question. How did volumes did in Mexico, more or less, during the quarter? And in which channel did you do better? In the traditional channel, in the mom-and-pops or in the formal retail ones?

Daniel Javier Servitje Montull
Yes. Our volume -- our rate in the quarter was around 3% -- 3% and a bit down. And the modern channel did not perform well and the small retailer channel didn't perform well either. I would say that the improvement was in the C store channel and in the food-service channel, basically.

Operator
The next question comes from Diego Mejia at HSBC.

Diego Mejía Cárdenas
It's actually a follow-up question on Mexico. I was just wondering how comfortable are you guys on maintaining this 20.6% margin in Mexico? Because I understand that you guys took some pricing ahead of the excise taxes, which became effective early this year. So how comfortable are you on maintaining these levels?

Daniel Javier Servitje Montull
Yes, the improvement was on multiple fronts in the margin seen. One is seasonality; two is cost-reduction efforts, lower commodities...

Guillermo Jorge Quiroz Abed
Exchange rate.

Daniel Javier Servitje Montull
Exchange rate. And we also had some prices that went up during that quarter. So all in all, that's the causes for a very good performance in the quarter.

Guillermo Jorge Quiroz Abed
And we would use that -- that's only coming from fourth quarter. We'll use that for projecting 2014 as a whole.

Operator
[Operator Instructions] Our next question comes from Raul Ochoa at Interacciones.

Raúl Ochoa
Is there a chance to cut marketing expenses to raise profitability? Or do you consider it's a priority expense to keep demand levels? Can you tell us what is the marketing budget in terms of sales percentage? That's my question.

Daniel Javier Servitje Montull
Yes. We don't disclose the specifics of our marketing budget, but I will tell you that we have a strong budget in all geographies and we are also spending, as usual, as we do in the point-of-sale materials, which is a large expenditure for us given our distribution in a lot of retailers. So not a significant change, but we are, obviously, evaluating always the impact of our promotions, the impact on our trade marketing expenses, as well as our advertising. And if something doesn't pay for itself, we go for other venues.

Operator
This concludes the question-and-answer session. Would you like to make any closing remarks?

Daniel Javier Servitje Montull
Well, thank you, all, for your time and interest today. And as always, please do not hesitate to contact us with any further comments or questions you may have. And we look forward to speaking with you again soon. Thank you very much.

Operator
The conference has now concluded. Thank you for attending today's presentation. You may now disconnect.

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